UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2025 | Commission File Number: 001-39821

AETHERIS DYNAMICS INC.

(Exact name of registrant as specified in its charter)

- **State of Incorporation:** Delaware
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- **I.R.S. Employer Identification No.:** 84-3920194
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- **Address of Principal Executive Offices:** 10400 Innovation Blvd, Austin, TX 78758
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- **Registrant’s telephone number:** (512) 555-0190
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- **Securities registered pursuant to Section 12(b):** Common Stock ($0.001 par value) traded on NASDAQ (Ticker: **ADYN**)
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ITEM 1. BUSINESS & OPERATIONAL HIGHLIGHTS

Aetheris Dynamics Inc. ("Aetheris", the "Company", "we", "us", or "our") is a multinational technology enterprise specializing in autonomous industrial robotics, enterprise cloud energy management software, and high-performance quantum computing hardware components. Headquartered in Austin, Texas, the Company operates key engineering and manufacturing centers across North America, Europe, and the Asia-Pacific region.

During the fiscal year ended December 31, 2025 ("FY2025"), Aetheris achieved record operational scale, driven by strong market adoption of our Gen-3 Autonomous Mobile Robots (AMRs) and rapid expansion of our software-as-a-service (SaaS) Energy Cloud ecosystem.

Segment Overview

- **Autonomous Robotics & Automation:** Manufactures intelligent logistics AMRs, heavy-payload robotic manipulators, and automated warehouse infrastructure. Generated $10,150 million in revenue in FY2025 (55.0% of total revenues).
- **Enterprise Energy Cloud:** Delivers SaaS solutions for grid balancing, industrial battery management, and carbon emissions auditing. Annual Recurring Revenue (ARR) expanded to $4,200 million in FY2025, representing a 28.5% year-over-year growth.
- **Quantum Computing Components:** Produces cryogenic control units, specialized qubit packaging, and optical interconnects for research laboratories and defense contractors, contributing $4,100 million in revenue.

Selected Consolidated Financial Data

(in millions, except per share data)

Financial Metric	FY2025	FY2024	FY2023	FY2022	FY2021
Total Net Revenues	$18,450	$16,155	$14,210	$12,050	$9,840
Gross Profit	$8,856	$7,431	$6,252	$5,180	$4,130
Operating Income	$3,690	$3,070	$2,415	$1,920	$1,450
Net Income	$2,820	$2,385	$1,890	$1,480	$1,110
Diluted Earnings Per Share (EPS)	$8.42	$7.01	$5.48	$4.25	$3.15
Cash & Short-Term Investments	$7,600	$5,960	$5,120	$4,250	$3,400
Total Assets	$32,110	$28,450	$25,120	$21,800	$18,500
Total Long-Term Debt	**$6,200**	**$6,850**	**$7,100**	**$7,500**	**$6,200**

Key Strategic Developments

In FY2025, the Company completed the construction of its advanced automated manufacturing hub in Dresden, Germany, increasing European production capacity by 45%. Furthermore, Aetheris invested $2,415 million in Research and Development, focusing on next-generation AI perception models and solid-state power components.

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS (MD&A)

Executive Overview & Financial Condition

Total net revenues for FY2025 reached $18,450 million, representing a 14.2% increase compared to $16,155 million in FY2024. Revenue expansion was led by subscription services, which grew 24.3% year-over-year. Net income expanded by 18.2% to $2,820 million, supported by gross margin expansion of 200 basis points due to manufacturing scale efficiencies and supply chain normalization.

Results of Operations Breakdown

Revenues by Division

(in millions)

Business Segment	FY2025	FY2024	YoY Change ($)	YoY Change (%)
Robotics & Automation Hardware	$10,150	$9,240	+$910	+9.8%
Energy Cloud Software & Services	$4,200	$3,380	+$820	+24.3%
Quantum Components & Subsystems	$4,100	$3,535	+$565	+16.0%
Total Net Revenues	**$18,450**	**$16,155**	**+$2,295**	**+14.2%**

Cost of Revenues & Gross Margin Analysis

Cost of revenues totaled $9,594 million in FY2025 compared to $8,724 million in FY2024. Gross profit margin increased to 48.0% in FY2025 from 46.0% in FY2024. The expansion was primarily attributable to higher proportions of recurring software revenues, reduced component sourcing costs, and enhanced yield rates at our primary Texas manufacturing center.

Operating Expenses

(in millions)

Expense Category	FY2025	FY2024	% of Revenue (2025)	% of Revenue (2024)
Research and Development (R&D)	$2,415	$2,050	13.1%	12.7%
Selling, General, and Administrative (SG&A)	$2,751	$2,311	14.9%	14.3%
Total Operating Expenses	**$5,166**	**$4,361**	**28.0%**	**27.0%**

Liquidity and Capital Resources

We maintain a robust liquidity position, ending FY2025 with $5,420 million in cash and cash equivalents and $2,180 million in short-term marketable securities. Net cash generated by operating activities was $4,850 million, up 39.0% from $3,490 million in FY2024. Capital expenditures (additions to property, plant, and equipment) were $1,425 million in FY2025, representing 29.38% of total operating cash flows.

Contractual Commitments and Debt Service

As of December 31, 2025, long-term debt was $6,200 million, consisting of $2,500 million in 3.25% Senior Notes due 2028, $2,200 million in 4.10% Senior Notes due 2031, and $1,500 million in 4.85% Green Bonds due 2035. Aggregate principal debt repayments due within the next 12 months total $650 million.

Critical Accounting Policies & Estimates

The preparation of financial statements requires management to make estimations that affect reported assets, liabilities, revenues, and expenses. Key accounting estimates include goodwill impairment evaluations, inventory valuation allowances for specialized electronic components, deferred tax asset realizations, and revenue recognition rules regarding multi-element software and hardware agreements.

ITEM 8. FINANCIAL STATEMENTS - STATEMENTS OF OPERATIONS

Aetheris Dynamics Inc.

Consolidated Statements of Operations

(in millions, except per share amounts)

Line Item	FY2025	FY2024	FY2023
Revenues:			
Product revenues	$13,100	$11,850	$10,710
Subscription and service revenues	$5,350	$4,305	$3,500
Total Net Revenues	**$18,450**	**$16,155**	**$14,210**
Cost of Revenues:			
Cost of product revenues	$7,810	$7,180	$6,590
Cost of subscription and service revenues	$1,784	$1,544	$1,368
Total Cost of Revenues	**$9,594**	**$8,724**	**$7,958**
Gross Profit	**$8,856**	**$7,431**	**$6,252**

Line Item	FY2025	FY2024	FY2023
Operating Expenses:			
Research and development	$2,415	$2,050	$1,820
Selling, general, and administrative	$2,751	$2,311	$2,017
Total Operating Expenses	**$5,166**	**$4,361**	**$3,837**
Operating Income	**$3,690**	**$3,070**	**$2,415**
Other Income / (Expense):			
Interest income	$185	$120	$95
Interest expense	($290)	($340)	($380)
Other non-operating expense, net	($35)	($15)	($10)
Income Before Provision for Income Taxes	**$3,550**	**$2,835**	**$2,120**
Provision for income taxes	$730	$450	$230
Net Income	**$2,820**	**$2,385**	**$1,890**
Earnings Per Common Share:			
Basic Earnings Per Share	$8.55	$7.12	$5.56
Diluted Earnings Per Share	$8.42	$7.01	$5.48
Weighted Average Common Shares Outstanding:			
Basic shares	330.0	335.0	340.0
Diluted shares	335.0	340.2	345.1

CONSOLIDATED BALANCE SHEETS

(As of December 31, 2025 and 2024, in millions)

Assets	2025	2024
Current Assets:		
Cash and cash equivalents	$5,420	$4,110

Assets	2025	2024
Short-term marketable securities	$2,180	$1,850
Accounts receivable, net of allowances ($45 and $38)	$2,940	$2,410
Inventories	$1,810	$1,620
Prepaid expenses and other current assets	$610	$520
Total Current Assets	**$12,960**	**$10,510**
Property, Plant, and Equipment, net	$8,450	$7,820
Operating Lease Right-of-Use Assets	$1,890	$1,950
Goodwill	$5,410	$5,410
Intangible Assets, net	$2,150	$1,810
Other Non-Current Assets	$1,250	$950
TOTAL ASSETS	**$32,110**	**$28,450**

Aetheris Dynamics Inc.

Consolidated Balance Sheets - Liabilities & Stockholders' Equity

(As of December 31, 2025 and 2024, in millions, except share data)

Liabilities & Stockholders' Equity	2025	2024
Current Liabilities:		
Accounts payable	$1,650	$1,420
Accrued compensation and employee benefits	$890	$780
Deferred revenue, current portion	$1,410	$1,150
Current maturities of long-term debt	$650	$650
Other current liabilities	$720	$610
Total Current Liabilities	**$5,320**	**$4,610**
Long-Term Debt, less current maturities	$6,200	$6,850
Operating Lease Liabilities, non-current	$1,680	$1,740
Deferred Tax Liabilities	$610	$480

Liabilities & Stockholders' Equity	2025	2024
Other Non-Current Liabilities	$820	$710
Total Liabilities	**$14,630**	**$14,390**
Stockholders' Equity:		
Common stock ($0.001 par value; 1,000M shares authorized; 330M and 335M issued)	$1	$1
Additional paid-in capital	$8,920	$8,450
Retained earnings	$8,610	$5,790
Accumulated other comprehensive loss	($510)	($180)
Total Stockholders' Equity	**$17,480**	**$14,060**
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	**$32,110**	**$28,450**

CONSOLIDATED STATEMENTS OF CASH FLOWS

(Years Ended December 31, 2025, 2024, and 2023, in millions)

Cash Flow Line Item	FY2025	FY2024	FY2023
Operating Activities:			
Net income	$2,820	$2,385	$1,890
Depreciation and amortization	$820	$740	$680
Stock-based compensation expense	$340	$290	$240
Deferred income taxes	$130	$80	$45
Other non-cash items	$60	$35	$20
Changes in Operating Assets & Liabilities:			
Accounts receivable	($530)	($310)	($280)
Inventories	($190)	($140)	($120)
Accounts payable & accrued liabilities	$490	$370	$290
Net Cash Provided By Operating	**$4,850**	**$3,490**	**$2,730**

Cash Flow Line Item	FY2025	FY2024	FY2023
Activities			
Investing Activities:			
Capital expenditures (additions to PP&E)	($1,425)	($1,180)	($950)
Purchases of marketable securities	($1,200)	($950)	($800)
Sales and maturities of marketable securities	$870	$720	$610
Net Cash Used In Investing Activities	**($1,755)**	**($1,760)**	**($1,140)**
Financing Activities:			
Repayments of long-term debt	($650)	($250)	($200)
Repurchases of common stock	($800)	($600)	($500)
Dividends paid to stockholders	($320)	($280)	($240)
Net Cash Used In Financing Activities	**($1,755)**	**($1,110)**	**($930)**
Net Increase in Cash & Cash Equivalents	**$1,340**	**$620**	**$660**
Cash & Cash Equivalents - Beginning of Period	$4,110	$3,490	$2,830
Cash & Cash Equivalents - End of Period	**$5,420**	**$4,110**	**$3,490**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 1. Summary of Significant Accounting Policies

Basis of Presentation: The consolidated financial statements include the accounts of Aetheris Dynamics Inc. and its wholly owned subsidiaries. All intercompany accounts and transactions have been eliminated in consolidation. The financial statements are prepared in accordance with U.S. Generally Accepted Accounting Principles (US GAAP).

Revenue Recognition (ASC 606): Revenue from hardware products is recognized upon transfer of control to the customer, typically at shipment or delivery. Subscription revenue from the Enterprise Energy Cloud is recognized ratably over the contractual term. Multi-element arrangements are allocated based on standalone selling prices.

Note 2. Property, Plant, and Equipment (PP&E)

(in millions)

Asset Category	Useful Life (Years)	2025 Gross Amount	2024 Gross Amount
Land & Improvements	Indefinite / 15-20	$1,120	$1,050
Buildings & Leasehold Improvements	25 - 40	$4,850	$4,210
Machinery, Robotics & Test Equipment	5 - 10	$5,240	$4,480
Computer Hardware & Internal Software	3 - 5	$1,650	$1,380
Total PP&E at Cost	-	**$12,860**	**$11,120**
Less: Accumulated Depreciation	-	($4,410)	($3,300)
Property, Plant, and Equipment, Net	-	**$8,450**	**$7,820**

Note 3. Debt & Borrowing Facilities

Long-term debt consists of senior unsecured notes issued under an indenture dated May 15, 2021. Interest is payable semi-annually. The Company maintains a $1,500 million revolving credit facility with a syndicate of financial institutions, which remained undrawn as of December 31, 2025.

Note 4. Income Taxes

The effective tax rate was 20.56% in FY2025, 15.87% in FY2024, and 10.85% in FY2023. The tax rate increase in FY2025 reflects lower foreign tax credit utilizations and changes in R&D capitalization rules under Section 174 of the Internal Revenue Code.

Note 5. Contingencies & Legal Matters

The Company is involved in legal proceedings arising in the ordinary course of business. Management believes the ultimate resolution of pending claims will not have a material adverse impact on the Company’s consolidated financial position or cash flows.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

AETHERIS DYNAMICS INC.

By: /s/ Marcus Vance

Marcus Vance

Chief Executive Officer & Director

March 12, 2026

CHIEF FINANCIAL OFFICER CERTIFICATION

By: /s/ Elena Rostova

Elena Rostova

Chief Financial Officer & Principal Accounting Officer

March 12, 2026